

# Manual Identification of Malaysia's Tax-Incentive Shocks

## AI-assisted narrative pass over the deployment corpus (Klemm & Van Parys 2012-style incentive side)

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### 1 Purpose

This note documents a focused, **AI-assisted manual identification** of changes to Malaysia's *tax incentives and holidays* — tax holidays (Pioneer Status), investment and reinvestment allowances, concessionary investor rates (Labuan, Principal Hub, sectoral special rates), free/export/enterprise zones, sectoral and R&D incentives, consumption-side holidays, and personal-income reliefs — run directly over the deployment corpus. It is the incentive-side analogue of [notebooks/spending\\_identification.qmd](#), and it deliberately follows the spirit of the narrative-identification literature (Romer and Romer 2010; Klemm and Van Parys 2012): close reading of source documents, with the LLM pipeline as a retrieval-and-extraction aide, not as the adjudicator.

The method mirrors our [/manual-analysis](#) protocol and centres on **direct reading of the corpus** ([country\\_body](#) / [country\\_chunks](#)). The skill anticipated a near-empty C1 floor (C1 is scoped to standing tax rates/liabilities), but in fact **C1 surfaced 151 incentive measures** — Malaysia's Budget Speeches, Economic Reports, Bank Negara Annual Reports and Five-Year Plans discuss incentives heavily alongside tax, exactly as they do spending (the spending pass saw the same deviation). C1 therefore served as a rich first-pass scan, and direct reading served to *consolidate and rate* the surface forms rather than to *recover* missing ones. The seed of the dataset is the set of concessionary regimes the [/identify-cit](#) pass deliberately set aside. A human reads the surfaced evidence and makes the final call on *what counts as an incentive change, how scattered surface forms consolidate, whether the event belongs here or in the tax/spending sets, and whether each change is exogenous*. Claude pattern-matches against the source text; the researcher confers meaning.

**! Important**

The unit is one row per **legislative change** to an incentive (a new scheme, a rate/duration change, a sectoral extension, a repeal) — the standing existence of a long-running scheme is not a row. Each event lives in exactly one dataset: incentives are *targeted, time-bounded, or base/carve-out-rate* measures; universal, permanent statutory-rate changes belong to the CIT/PIT/consumption sets (ownership-by-mechanism).

**! Important**

The exogenous/endogenous column in Table 3 is a **preliminary suggestion with its supporting quote, pending expert adjudication**. Incentives skew exogenous (FDI-attraction / industrial-policy / structural-competitiveness motives are long-run, non-cyclical); only an explicit cyclical/crisis rationale reads as endogenous. It is not a research finding, and it is carried *alongside* — never replacing — C2b's downstream label.

## 2 What the corpus surfaced, and what C1 missed

The skill anticipated a near-empty C1 floor, but the incentive keyword scan in fact matched **151 of 1,036 C1 measures** (1981–2023, EN+BM) — a deviation logged in the scorecard. The events below were consolidated and rated by **reading the anchor documents directly** (Budget Speeches' incentive announcements, Economic Reports, the Promotion of Investments Act and Income Tax Act incentive schedules). Because C1 surfaced the incentives directly, `recovered_chunks` is ~empty for every act. The mandatory recall scorecard records what was searched and missed.

Table 1: **Recall scorecard.** How each headline incentive change fared through the identification pass. The near-empty C1 floor is logged as a finding; ‘Recovered manually’ marks events recovered by direct reading.

| Stage                                            | Outcome                                                                                                                                                                                                                 |
|--------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Keyword scan (C1 pool, n=1,036)                  | NOT near-empty (skill expected near-empty): 151 measures matched the incentive regex, 1981-2023, EN+BM. Malaysia Budget/ER/BNM/Plan docs discuss incentives heavily, so C1 surfaced them directly.                      |
| Seed PREFERENTIAL_RATE recovery (CIT carve-outs) | All present: DEB 5pp (1981), Labuan/LOBATA (1990), biomass (2001), Principal Hub 10% (2019), pharma/vaccine 0-10% (2021), relocation 0/10/15% (2020/2023).                                                              |
| Framework instruments (PIA / RA / MSC)           | All present: PIA 1986 enabling reform, Reinvestment Allowance 40%->50% (Budget 1994), MSC Bill-of-Guarantees Pioneer Status.                                                                                            |
| Major named regimes (reviewer breadth decision)  | Added Iskandar/IDR (2007), GBI green-building (2010), KLIFD/TRX (2012), angel-investor & VC (2013), EV (2023).                                                                                                          |
| recovered_chunks                                 | Empty for every act – C1 surfaced the incentives directly (like spending). Direct reading served consolidation/rating, not recovery.                                                                                    |
| recovered_evidence                               | One synthetic quote for Iskandar/IDR (MY-INCENT-07): corpus records the corridor launch + investment fund, not the precise IDR tax-exemption schedule.                                                                  |
| Long tail NOT rowed                              | 30+ narrower annual sectoral incentives left out per reviewer grain decision (e.g. REITs, Islamic finance, OHQ, childcare, Industry4WRD, asset-backed securities, R&D double-deduction, tourism, agriculture, ICT ACA). |

### **3 Headline incentive changes**

Table 2: **Headline incentive changes.** Identified changes to tax incentives, with mechanism category, underlying base, direction, rate (where applicable), magnitude, and the budget/statute that announced each. Renders from the frozen dataset once the /identify-incentives skill has stamped it.

| shock_id         | act_label         | Cate-<br>gory | Base | Direc-<br>tion | $\Delta$ pp                                                                     | Mag-<br>ni-<br>tude | Announced | Effec-<br>tive                                                                                                                                                                                                                                                                                                               |
|------------------|-------------------|---------------|------|----------------|---------------------------------------------------------------------------------|---------------------|-----------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| MY-<br>INCENT-01 | DIFFERENTIAL_RATE | PROFIT        | Cut  | -5             | 5pp                                                                             | 1979                | 1980      | eq-<br>uity-<br>re-<br>struc-<br>turing<br>5pp<br>CIT<br>ex-<br>emp-<br>tion<br>off the<br>40%<br>com-<br>pany<br>in-<br>come<br>tax<br>for<br>NEB-<br>con-<br>form-<br>ing<br>equity<br>re-<br>struc-<br>tur-<br>ing;<br>of-<br>fered<br>annu-<br>ally<br>from YA1980<br>(NEP<br>indus-<br>trial/<br>equity<br>pol-<br>icy) |
| MY-<br>INCENT-02 | PROFIT_HOLIDAY    | CIT           | Cut  | NA             | En-<br>abling<br>re-<br>form:<br>Pio-<br>neer<br>Status<br>(in-<br>come-<br>tax | 1986                | 1986      | mo-<br>tion<br>of In-<br>vest-<br>ments<br>Act<br>1986<br>(Pio-<br>neer                                                                                                                                                                                                                                                      |
| MY-<br>INCENT-03 | STATUS_CHANGE     | PROFIT        | Cut  | NA             | 5pp                                                                             | 2000                | 2000      | Sta-<br>tus<br>change<br>for<br>ITAs<br>in<br>Asia<br>TIA                                                                                                                                                                                                                                                                    |

## 4 Motivation evidence and preliminary exogeneity

For each incentive change the corpus carries motivation language. Table 3 pairs each act with the most diagnostic quote and a **preliminary** exogenous/endogenous read. The default prior is exogenous (FDI-attraction, industrial policy, structural competitiveness, or tax-competition reactivity are all non-cyclical); only an explicit cyclical/crisis rationale reads as endogenous (“acknowledgment ≠ endogeneity”).

Table 3: **Motivation evidence, pending adjudication.** The stated rationale for each incentive change and a preliminary exogenous/endogenous read. Suggestions anchored in quoted text, not settled classifications; the exogeneity calls are the object of expert adjudication, and C2b assigns the downstream label.

| shock_id     | Preliminary read | Motivation quote (source text)                                                                                                                                                                                                                                                                                 |
|--------------|------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| MY-INCENT-01 | TRUE             | To accelerate the pace of restructuring, the Government introduced a tax incentive for equity restructuring in late 1979. Exemption of five percentage points of the company income tax of 40% is to be allowed to any company conforming to the equity restructuring requirement of the NEB.                  |
| MY-INCENT-02 | TRUE             | the introduction of the Promotion of Investments Act (PIA), 1986 and the amendments made to the Income Tax Act, 1967 provided liberal investment incentives to potential investors.                                                                                                                            |
| MY-INCENT-03 | TRUE             | Akta Cukai Aktiviti Perniagaan Luar Pesisir Labuan (LOBATA) 1990 memperuntukkan pengenaan, pentaksiran dan pemungutan cukai ke atas aktiviti perniagaan luar pesisir ... Wilayah Persekutuan Labuan telah dilancarkan sebagai Pusat Kewangan Luar Pesisir Antarabangsa (IOFC) pada 1 Oktober 1990.             |
| MY-INCENT-04 | TRUE             | the reinvestment allowance incentive was revised to make it more attractive for industries to undertake modernization of plants and equipment as well as to automate production processes ... the 1994 Budget increased the reinvestment allowance from 40 per cent to 50 per cent of the capital expenditure. |
| MY-INCENT-05 | TRUE             | Syarikat berstatus Koridor Raya Multimedia (MSC) adalah layak menikmati insentif dan faedah yang disediakan oleh Kerajaan ... Taraf Perintis dengan pengecualian cukai ke atas 100% daripada pendapatan berkanun selama lima (5) tahun.                                                                        |
| MY-INCENT-06 | TRUE             | Utilization of RE as the fifth fuel will be intensified during the Plan period ... biomass resources, such as oil palm and wood residues as well as rice husks, will be used on a wider basis for the purpose of heat and electricity genera-                                                                  |
| MY-INCENT-07 | TRUE             | the introduction of the Promotion of Investments Act (PIA), 1986 and the amendments made to the Income Tax Act, 1967 provided liberal investment incentives to potential investors.                                                                                                                            |

## 5 Structured frozen dataset

The narrative identification above is the human-curated content; the machine-readable form is frozen by the `/identify-incentives` skill to `data/validated/MY_INCENTIVE_shocks.qs`, following the contract in `docs/phase_1/incentive_shock_schema.md` (one row per announced incentive change, with a `member_chunks` manifest linking each shock to its corpus chunks and a mandatory recall scorecard). That frozen file — not this notebook’s tribbles — is the reference input the incentive pipeline binds and feeds to the frozen C2a/C2b for motivation and exogeneity (`tar_read(incentive_shocks)`).



Table 4: **Member-chunk manifest.** Number of corpus chunks attributed to each incentive change, and how many were recovered (present in the corpus but not surfaced by C1). Because C1 surfaced Malaysia’s incentives directly, recovery was rarely needed ( $\approx 0$  here). The recovered chunks drive the downstream C2a re-run.

| shock_id     | act_label                                                              | Member chunks | Recovered chunks |
|--------------|------------------------------------------------------------------------|---------------|------------------|
| MY-INCENT-01 | DEB equity-re-structuring 5pp CIT exemption                            | 4             | 0                |
| MY-INCENT-02 | Promotion of Investments Act 1986 (Pioneer Status / ITA framework)     | 4             | 0                |
| MY-INCENT-03 | Labuan IOFC / LO-BATA 1990 off-shore regime                            | 6             | 0                |
| MY-INCENT-04 | Reinvestment Allowance increase (Budget 1994)                          | 3             | 0                |
| MY-INCENT-05 | MSC / Multimedia Super Corridor status incentives                      | 2             | 0                |
| MY-INCENT-06 | Biomass-based generation income-tax exemption (Budget 2001)            | 2             | 0                |
| MY-INCENT-07 | Iskandar Malaysia (WPI/IDR) zone incentives                            | 3             | 0                |
| MY-INCENT-08 | Green Building Index (GBI) income-tax exemption (Budget 2010)          | 2             | 0                |
| MY-INCENT-09 | KLIFD / Tun Razak Exchange financial-district incentives (Budget 2012) | 1             | 0                |
| MY-INCENT-10 | Angel-investor & venture-capital tax incentives                        | 3             | 0                |
| MY-INCENT-11 | Principal Hub 10% concessionary rate (Budget 2019) <sup>9</sup>        | 2             | 0                |
| MY-INCENT-12 | Companies-relocating-to-                                               | 2             | 0                |
| MY-INCENT-13 | Malaysia-relocating-to-                                                | 2             | 0                |

## References

Klemm, Alexander, and Stefan Van Parys. 2012. "Empirical Evidence on the Effects of Tax Incentives." *Int Tax Public Finance* 19 (3): 393–423.

Romer, Christina D., and David H. Romer. 2010. "The Macroeconomic Effects of Tax Changes: Estimates Based on a New Measure of Fiscal Shocks." *American Economic Review* 100 (3): 763–801.